P.L. 119-21 across Title 26: further findings

Arxo Law · October 2026 · contact: hi@arxo.io

Summary

Our first note covered 58 inflation-indexed sections of Title 26. This note covers the rest of the Act's amendments to Title 26: 588 parsed edits affecting 146 sections.

- **Method.** Each parsed edit was applied to the Code as it stood before enactment (OLRC release point 119-12), with occurrences counted, and the result was compared with the later OLRC releases. New and rewritten text was then checked for repeated designations, unbalanced parentheses and list punctuation. Section lists that Congress usually amends together with a new provision were checked one by one.
- **Result.** 566 edits execute exactly as written. Of the other 22, ten amend text that exists only after a prospective amendment by another Act and execute in their turn. The items below are those where the text itself needs attention. Each was checked by hand against the Statutes at Large page.
- **What is new here.** As far as we can find, neither JCS-1-26 nor an issue-specific OLRC note mentions the wrong cross-references in item 1, item 2, Section 4, or the six errors in Section 3 that carry no OLRC note. The other items are listed so that they can be considered together.

Sources. P.L. 119-21 as printed at 139 Stat. 72 (govinfo PDF) and in USLM; OLRC Title 26, release points 119-12, 119-33 and 119-121; Joint Committee on Taxation, General Explanation of the Tax Provisions of Public Law 119-21 (JCS-1-26), May 2026.

1. Wrong internal cross-reference in §70202(c)(2) (overtime reporting)

- **Text.** §70202(c)(2)(A) and (B) (139 Stat. 175) amend "Section 6041(a), as amended by section 70201(e)(1)(A)" and "Section 6041(d), as amended by section 70201(e)(1)(B)".
- **Problem.** §70201(e) is the extension of the tip credit to beauty service businesses (§45B). The amendments to §6041 are in §70201(f)(1)(A) and (B) (139 Stat. 172).
- **Consequence for execution.** §70202(c)(2)(A) inserts its text after "occupation of the person receiving such tips". §70201(f)(1)(A) had inserted "the occupation described in section 224(d)(1) of the person receiving such tips", so the quoted words do not occur. OLRC executed the insertion after the longer phrase "to reflect the probable intent of Congress". OLRC's amendment notes attribute the §6041(a) amendment to §70201(f)(1)(A); the probable-intent note does not mention that the Act reads (e).
- **Possible correction.** In §70202(c)(2)(A) and (B), strike "70201(e)(1)(A)" and "70201(e)(1)(B)" and insert "70201(f)(1)(A)" and "70201(f)(1)(B)". In (A), strike "occupation of the person receiving such tips" and insert "occupation described in section 224(d)(1) of the person receiving such tips". Both as of enactment.

2. Trump accounts: the new additional tax is not excluded from regular tax liability

- **Text.** §530A(d)(5), added by §70204(a) (139 Stat. 182), covers a contribution "made before the calendar year in which the account beneficiary attains age 18" in excess of the annual limit. When the excess is distributed, "the tax imposed by this chapter on the distributee for the taxable year in which the distribution is made shall be increased by 100 percent of the amount of net income attributable to such excess" (subparagraph (C)).
- **The list.** §26(b)(2) names the chapter 1 taxes that are not part of "regular tax liability", the measure used in limiting nonrefundable credits. Comparable additional taxes on account distributions are listed there:
  - (E) §530(d)(4), Coverdell education savings account distributions;
  - (Q) §220(f)(4), Archer MSA distributions;
  - (U) §223(f)(4), HSA distributions;

- (Y) §529A(c)(3)(A), ABLE account distributions;
- (Z) §24(j)(2), excess advance child tax credit payments.

- **Section 530A(d)(5)(C) is not listed.** The text appears to include this additional tax in regular tax liability, so otherwise available nonrefundable credits could offset it, unlike the comparable taxes above. The question is whether an exclusion was intended.
- **Possible correction.** In §26(b)(2), add "section 530A(d)(5)(C) (relating to net income attributable to excess contributions to Trump accounts)".
- **Status.** We found no discussion of this point in JCS-1-26.

3. Drafting errors in the Act's text

Each entry gives the Code provision, the Act section and the 139 Stat. page. "OLRC note" means the error already carries an editorial note in the Code.

Duplicate designations

- **§1202(b)** (§70431(c)(2), 242). A second paragraph "(4) Inflation adjustment" indexes "the $75,000,000 amounts in paragraphs (1)(A) and (1)(B)"; those amounts are in subsection (d)(1). JCS-1-26 n. 911 proposes moving it to (d)(4). Until then, the references in (b)(3)(A) and (b)(5)(A) to "paragraph (4)(A)" and "paragraph (4)(B)" use designations that appear twice; the dollar amounts show which is meant. OLRC note: "two pars. (4)".
- **§45X(d)** (§70514(c)(2), 275). A second paragraph (4), "Restrictions relating to prohibited foreign entities"; probably (5). OLRC note: "two pars. (4)".
- **§45Y(b)(1)** (§70512(b)(1), 253; §70512(g)(1), 267). (b)(1) adds a subparagraph (E); (g)(1) then redesignates (D) as (E). OLRC note: "two subpars. (E)".

Wrong labels and references

- **§530A(b)(2)(B)** (§70204(a), 180). "an election under subsection (C)"; (C) is a subparagraph, as (b)(2)(A) says. No OLRC note.
- **§139L(d)(4)** (§70435(a), 247). "subsection (b)(6)(A)(a)(ii)" of §265; probably (b)(6)(A)(ii). OLRC note.
- **§6434(e)(2)** (§70204(d), 187). Substitutes text "for 'before the due date of such return'" in §24(h)(7)(B), whose clause (ii) reads "before the due date for such return". OLRC note.

Spelling and punctuation

- **§45D(f)(3)(B)** (§70423(b)(2), 235). "to any calendar year afer the fifth calendar year". No OLRC note.
- **§7701(a)(52)(C)(ii)** (§70512(c), 261). "the applicable critical minerals described in section 45X(c)(6)), which shall—": one closing parenthesis too many. No OLRC note.
- **§45S(d)** (§70304(a)(4), 196). Paragraph (2) now ends ", and" and (3) is added, but "and" at the end of (1) stays: "(1) …, and (2) …, and (3) …". No OLRC note.
- **§7704(d)(1)(E)** (§70524(a)(3), 281–282). Striking "all that follows" removes the comma before (F); the inserted text ends "…construction of property begins).", though subparagraphs (F) and (G) follow. No OLRC note.
- **§25(e)(1)(C)** (§70411(a)(2)(A), 217). Striking "and 25D" and inserting "25D, and 25F" yields "sections 23 25D, and 25F", without a comma after 23. Effective for 2027; not yet executed by OLRC, so no OLRC note.

4. For the Office of the Law Revision Counsel

Two places where releases 119-33 and 119-121 differ from the Statutes at Large:

- **§170(p).** §70424(a)(1) (139 Stat. 235) inserts "$1,000 ($2,000". The Code reads "not in excess of 1,000 ($2,000 in the case of a joint return)", without the dollar sign. OLRC's own amendment note reads "$1,000 ($2,000".

- **§67(g)(2).** The text inserted by §70110 (139 Stat. 164) ends “after ‘counselor’.”. The Code has no final period.

Method and limits

- **Extraction.** Instructions were parsed automatically. A blind second extraction of a random sample of 30 instructions found no extraction errors, after accounting for differences in the starting text. Seven provisions with rare constructions were not executed automatically; for them we rely on the OLRC text.
- **Coverage.** Coverage was checked against the OLRC amendment notes: 202 of 216 section–provision pairs were represented in the parsed edits. The rest are notes, References in Text, section renumberings counted under the former numbers, or an amendment of an earlier Act.
- **Effective dates.** Effective-date ordering across Acts was not modelled. Prospective amendments were identified from OLRC notes and checked by hand.